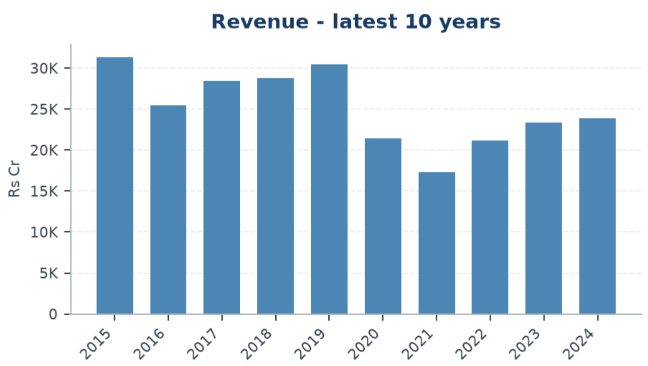
Bharat Heavy Electricals Limited

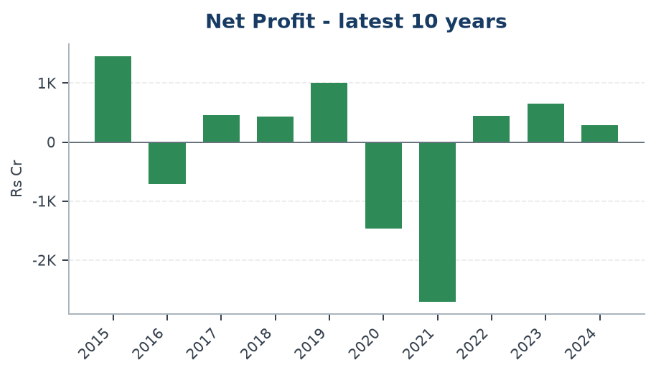
Industrials | Capital Goods

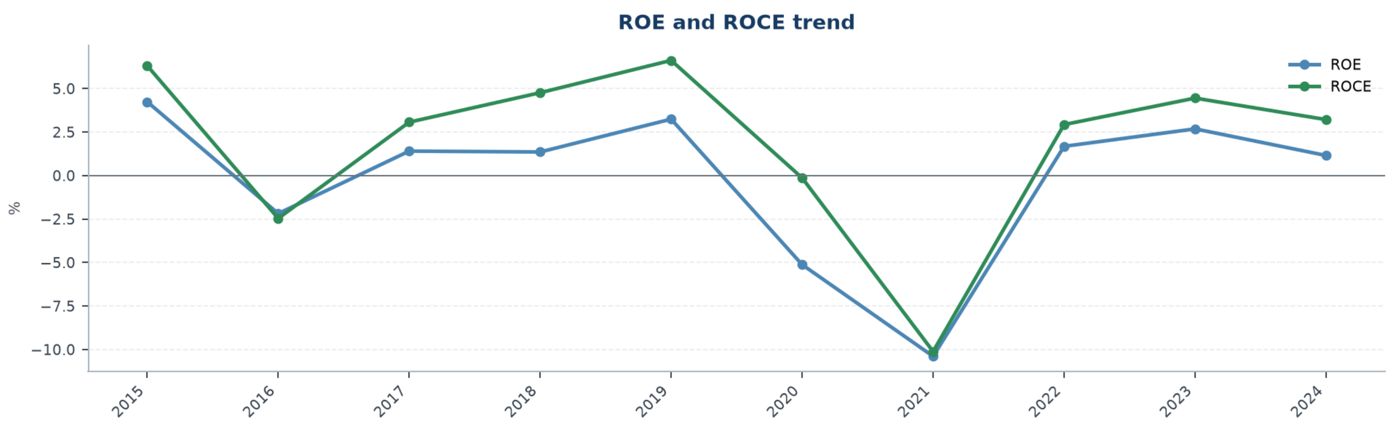
BHEL

Revenue CAGR	PAT CAGR	ROE
-4.7%	**-22.4%**	**1.2%**
5-year	5-year	latest year

ROCE	Debt-to-Equity	CFO Quality
3.2%	**0.36x**	**Accrual Risk**
latest year	latest year	5Y score -2.21x







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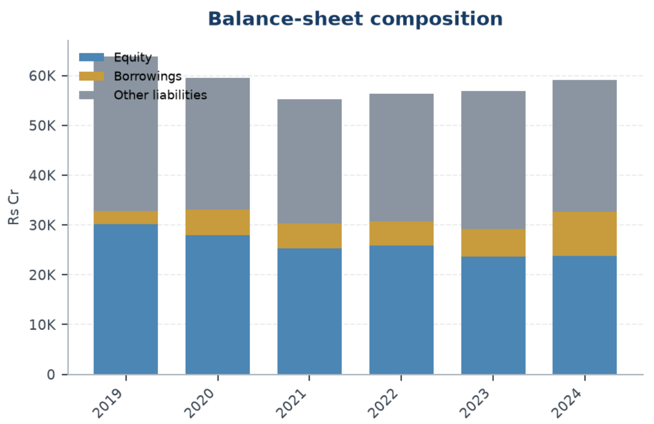
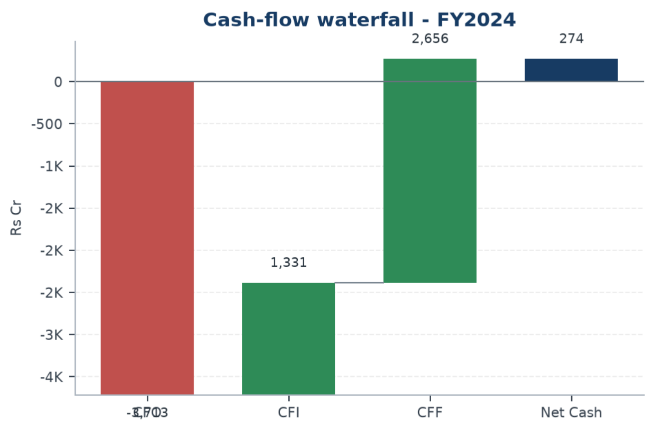
LATEST CAPITAL-ALLOCATION PATTERN	**Distress Signal**





Pros

1. **1.** Conservative debt-to-equity ratio of 0.36x provides balance-sheet flexibility (85% confidence)

Cons

1. Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (92% confidence)

2. Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (87% confidence)

3. Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (78% confidence)

4. Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (75% confidence)